



IDEAL PLAY ABACUS INDIA PVT LTD.

(ISO 9001:2015 Certified Company)

AREA FRANCHISEE AGREEMENT

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IDEAL PLAY ABACUS INDIA PRIVATE LTD.

And

Pavithra R

Signed on : 28-February-2024

Valid Till : 27-February-2027

Centre at : IPA AMBATTUR

FRANCHISE AGREEMENT

THIS AGREEMENT MADE AND EXECUTED) at Chennai on the effective date as mentioned in Section 1 of SCHEDULE B

BY AND BETWEEN

Ideal Play Abacus India Pvt. Ltd, a company incorporated under the companies Act: 1956 and having its Registered office at No:14 Thiru vi ka 3rd street Mylapore , Chennai – 600 014 represented by its Managing Director Shaarada K Sriram, hereinafter referred to as the **‘FRANCHISOR’**, which expression wherever the context permits unless repugnant, include its (successors in-office, representatives and assigns) of the **FIRST PART**

AND the **Franchisee** whose name and address are as specified in Sections 2 and 3 of attached SCHEDULE B

hereinafter referred to as **‘FRANCHISEE’** which expression wherever the context permits unless repugnant, include her/his (heirs, legal representatives, executors, administrators, successors and assigns) of the **SECOND PART**.

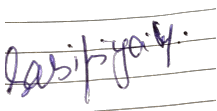
WHEREAS the **‘Franchisor’** has exclusive rights over the technical know-how and concepts developed by them in teaching Mental Arithmetic to children in entire territory of India and to their products including the literature developed by them. The **‘Franchisor’** has a complete set of teaching system (hereinafter collectively referred to as **(“the System and Product”)** for purpose of teaching students a technique to carry out Mental Arithmetic

WHEREAS the **‘Franchisee’** is desirous to acquire the right to use the System and Product and, to receive training and assistance for the technical know-how from the **‘Franchisor’** for the purpose of teaching students Mental Arithmetic at the **‘Franchise Centre’** under the ‘Name and Mark’ of the **‘Franchisor’**.

WHEREAS the **‘Franchisor’** has agreed to appoint the party of the **SECOND PART** as the **‘Franchisee’** and has agreed to grant unto the **‘Franchisee’** the permission to use the ‘System and Product’ and, to impart training and provide assistance for the technical know-how to teach the students Mental Arithmetic under the **‘Name and Mark’** of the **‘Franchisor’** at the **‘Franchise Centre’**.

WHEREAS the **‘Franchisee’** has the requisite infrastructure to teach the students Mental Arithmetic under the ‘Name and Mark’ of the **‘Franchisor’**.

WHEREAS the **‘Franchisee’** acknowledges the fact that the **‘Franchisor’s** acceptance of this Agreement



does not constitute a representation, promise, warranty or guarantee by the **'Franchisor'** that the **Franchise Business** will be profitable or otherwise successful

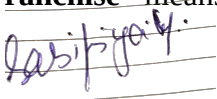
WHEREAS the **'Franchisee'** acknowledges receiving and reading this Agreement and any addenda hereto and has been given an opportunity to clarify any provision that the **'Franchisee'** did not understand. The **'Franchisee'** further acknowledges that he understands and accepts the terms, conditions and covenants contained in this Agreement as being reasonably necessary to maintain **'Franchisor's'** high standards of quality and service and the uniformity of those standards and thereby to protect and preserve the goodwill of the **'Name and Mark'** of the **'Franchisor'**. The parties have agreed to execute this Agreement to record the terms and conditions of their understanding thereto.

NOW THEREFORE THIS AGREEMENT WITNESSES AND IN CONSIDERATION OF THE PREMISES, MUTUAL PROMISES, COVENANTS, WARRANTIES SET FORTH HEREINAFTER, IT IS MUTUALLY AGREED AND DECLARED BY AND BETWEEN THE PARTIES AS UNDER: -

1. DEFINITIONS:

In this Agreement, unless the context shall otherwise require, the following definitions shall apply: -

- i. **"Agreement"** means this **Franchise** Agreement including all annexure and any subsequent written modifications hereto.
- ii. **"Certificate of Franchise Centre"**: the certificate issued by FRANCHISOR to the **Franchisee**, granting the **Franchisee** the right to teach Mental Arithmetic at Centre and within the term stipulated thereon.
- iii. **"Confidential Information"** Information, documentations, trade and other technical or business information, including proprietary materials, concepts, ideal, images, methods, teaching techniques (System), teaching aids (Products), financial conditions, marketing strategies, know-how, operations and intellectual property of the **Franchisor**, promotion techniques and knowledge of and experience in the operation and franchising of **Franchise** Business, 3 disclosed directly or indirectly and in any form whatsoever (including, but not limited to, disclosure made in writing, oral or in the form of models, computer programmes, hard copy, soft copy or any human readable form, drawing or other instruments) furnished by the **Franchisor** to the **Franchisee**. Such Confidential Information shall also include but shall not be limited to written or oral information disclosed by the **Franchisor** and marked or stated as Confidential, at the time of disclosure.
- iv. **"Course Details"** – The offered under the **Franchisor's System and Product** are Regular, Elementary Level, Advanced Level and Grand Level, details of which are provided in the Manual annexed hitherto.
- v. **"Effective Date"** shall be the date of the **Franchisor's** execution of this Agreement.
- vi. **"Franchise"** means non-exclusive, non-transferrable and nonassignable right to establish, run and operate



the “**Franchise Business**” in the designated Territory.

vii. “**Franchise Business**” means the business of teaching Mental Arithmetic to the students using the System and Product of the **Franchisor** by the **Franchisee** as per the instructions of the **Franchisor** by using the technical know-how under the Name and Mark of the **Franchisor**, at the **Franchise Centre**.

viii. “**Franchise Centre**” - The location at which the **Franchisee** would be conducting the course of the **Franchisor**

ix. “**Franchisee Fee**” The fee payable by the **Franchisee** to **Franchisor** pursuant to Clause 5 herein.

x. “**Inspection Officer**” A person who is authorized in writing by **Franchisor** to carry out such duties relating to inspection, supervision, regulation, control and maintenance of **Franchisor** standard and the System and Product at the Center.

xi. “**Instructor Permit**” A permit issued by **Franchisor** to an Instructor, specifying the **Franchisor** programme, level and the validity period which the Instructor is authorized to teach at the Centre. xii.

“**Intellectual Property**” shall include all Trademarks, service marks, trade names, Trademarks registrations, service mark registrations, copyrights, drawing, photographs, licenses, trade secrets and similar intangible property rights necessary for the conduct of the business of the **Franchisor**

xiii. “**Liability**” shall mean and include the meaning ascribed to that term in Clause 18.

xiv. “**Manual**” shall include a comprehensive set of rules, regulations and instructions for the conduct of the **Franchise** by the **Franchisee**. The Manual shall form part of the Agreement and contents of the Manual shall be subject to revision from time to time.

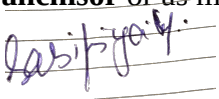
xv. “**Month**” A calendar month according to the Gregorian calendar.

xvi. “**Name and Mark**” shall mean the tradename and trademark of the **Franchisor** which includes the trading name, mark, sign, logo under its intellectual property.

xvii. “**Royalty**” The portion of fees of each student payable by the **Franchisee** to the **Franchisor**

xviii. “**Student Fees**” The Student Fees payable by students of the Centre which shall be fixed by **Franchisor** from time to time at its own discretion and of which there shall be 4 lessons (2 hours per lesson) per month.

xix. “**System and Product**” The teaching system (“the System”) and teaching aids (“the Products”) for Mental Arithmetic or otherwise formulated and created by **Franchisor** or as may be formulated and created by **Franchisor** or as may be formulated and created by **Franchisor** from time to time.



xx. **“Target”** The total Royalty Fees payable to the **Franchisor** by the **Franchisee** during the Term of this Agreement or such revised sum as may be imposed by **Franchisor** during the Renewed Term pursuant to Clause 5 herein.

xxi. **“Term”** shall have the meaning set out in Clause 4 (i) below.

xxii. **“Termination”** shall mean the termination of the **Franchise** Agreement by which the entire rights assigned to the **Franchisee** by the **Franchisor** as regards the **Franchise** stands revoked as set out in Clause 16.

2. INTERPRETATION

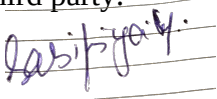
- i. Words and expressions importing the singular number shall include the plural number and vice versa.
- ii. Reference to the masculine gender will include reference to the feminine or neutral gender and vice versa.
- iii. The headings in this **Franchise** Agreement are inserted for convenience only and shall be ignored in interpreting the meaning of this Agreement.
- iv. Any reference to any statutory enactment shall be deemed to include a reference to such enactment as re-enacted, modified or amended.
- v. The use of the word “including” shall mean and be deemed to mean “including without limitation.”

3. OWNERSHIP

- i. Subject to the provisions herein contained, all rights in the System and Product are reserved by the **Franchisor** for its own use and benefit. **Franchisee** acknowledges that **Franchisee** shall not acquire any right, title, or interest in or to the System and Product as a result of the **Franchisee’s** use thereof. **Franchisee** acknowledges that **Franchisor** is the owner of the System and the Product and agrees that it will not challenge the validity of the System and the Product or the **Franchisor’s** ownership thereto.

4. GRANT AND RENEWAL OF FRANCHISE

- i. This Agreement shall, subject to the provision for termination in Clause 16 below, subsist for a period of 3 years with effect from the effective date as mentioned in point 1 of SCHEDULE B
- ii. The **Franchisor** hereby grants to the **Franchisee**, during the Term right and license to teach Mental Arithmetic using the System and Product for the **CENTRE** as specified in point 4 of the SCHEDULE B , However, the **Franchisee** does not have the right to sub-license the System and Product in full or partially to any third party.



iii. Subject to full compliance of the **Franchisee's** obligations under this Agreement, the **Franchisor** agrees to teach the **Franchisee** to use the System and Product for the aforesaid purpose.

iv. The **Franchisee** may, if it desires a renewal of the Agreement, give a written notice of its intentions for renewal at least two months before the Expiry Date or such extended period as the **Franchisor** may agree to.

v. The **Franchisor**, on receipt of such notice of renewal, may, in its sole discretion, extend/renew the term of this Agreement at for such period not exceeding three (3) years, after the expiration of the term provided in this Agreement and upon payment of the Fees.

vi. Renewal of the **Franchise** Agreement shall be effected by the execution by the **Franchisor** and the **Franchisee** of the **Franchisor's** then-current form of **franchise** agreement (which may provide for higher fees and other significant provisions of which may vary, but without any further term or right of renewal), general releases and all other agreements and legal instruments and documents then customarily used by the **Franchisor** in the grant of **franchises**.

1. The parties agree that in the event of **Franchisee** closing down its business, such closure being attributable to a fault on his part, the **Franchisor** shall have the right to recover such amount towards the loss sustained by it from the **Franchisee** and have a lien on its assets for the same.

2. The parties confirm that each shall work independently within their sphere, subject however to all reasonable restrictions.

3. No variation of terms of understanding between PLAY ABACUS SDN and **Franchisor** shall affect the arrangement existing between the **Franchisor** and the **Franchisee** in these presents.

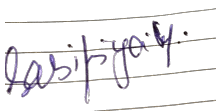
5. FRANCHISE CENTRE

i. The **Franchisee** shall only conduct such Mental Arithmetic and Abacus classes at the **Franchise** Centre agreed under this Agreement.

ii. The **Franchisee** shall submit application for any proposed change in the premises of the **Franchise** Centre to **Franchisor** at least two (2) months before the proposed change. The **Franchisor** is entitled to reject any change in premises to avoid any conflict of interest or competition among the **Franchise** Centres.

iii. Upon the move of the Centre to the new premises, the **Franchisee** shall deliver the Certificate of **Franchise** Centre to **Franchisor** to enable the necessary amendment to be made.

iv. The **Franchisor** may, if it considers appropriate, issue a new Certificate of **Franchise** Centre upon the move of the Centre to new premises and upon receipt of the prescribed fee.



v. If the **Franchisee** intends to cease operation at the Centre, the **Franchisee** shall submit notice of intention to cease operation to **Franchisor** at least two (2) months before the cessation. The **Franchisee** shall also seek prior written consent of **Franchisor** on the proposed arrangements for the students at the Centre to continue with **Franchisor** programmes.

vi. The Certificate of **Franchise** Centre shall be surrendered to **Franchisor** one (1) week before the cessation of operation and shall automatically cease to be valid upon the cessation of the operation at the Centre.

vii. The **Franchisee** shall remove and return the Centre signboard to **Franchisor** within one (1) month after ceasing operation.

6. FRANCHISE FEE AND ROYALTY

i. The **Franchisee** shall pay the initial non-refundable **Franchisee** fees as specified in Section 5 of SCHEDULE B to **Franchisor** on or before the date of this Agreement.

ii. The **Franchisee** agrees to pay the **Franchisor** a portion of the 'Student Fees' collected by the **Franchisee** at the Centre as 'Royalty' and the said 'Student Fees' collected shall be paid and apportioned among the **Franchisor**, **Franchisee** and the Instructor in the manner as provided in SCHEDULE B.

iii. The royalty for each month shall be payable by the **Franchisee** on or before every seventh (7th) day of the next calendar month and all the payments can be payable by cheque / cash / bank as indicated by the **Franchisor**

iv. Notwithstanding any provision to the contrary herein contained, the **Franchisor** shall be entitled to revise the amount of Student Fees, Royalty and any payments from time to time and shall be entitled to impose and collect from the **Franchisee** from time to time such other fees, dues or payment including but not limited to promotion and advertisement fees.

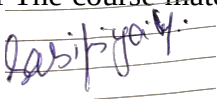
v. The **Franchisee** shall endeavor to meet the target of minimum 50 new registrations in a calendar year, failing which the **Franchisor** shall have the right not to renew the Term hereof.

7. FRANCHISOR'S RIGHTS AND OBLIGATIONS:

The **Franchisor** hereby declares the following:

i. The **Franchisor** has the absolute right to promote the products and educational system of the Ideal Play Abacus System. The **Franchisor** shall to the best of its ability, promptly attend to all the necessary requirements of the **Franchisee** diligently.

ii. All The course materials supplied to the **Franchisee** shall be free from defects and in case it is found that



there are such defects, it will take all expeditious steps to rectify the same to the fullest satisfaction of the **Franchisee**.

iii. Subject to the **Franchisee**'s compliance of the terms of this Agreement, **Franchisor** undertakes and confirms the following:

iv. The **Franchisor** shall be responsible for conducting the necessary examinations and supply all that is necessary to enable the **Franchisee** to complete the course within the stipulated time.

v. The **Franchisor** shall be responsible for training and updating the Course Instructor from time to time.

vi. The **Franchisor** shall support the **Franchisee** in its effort to increase the intake of students as well as to promote the teaching of Mental Arithmetic using the System and Product at the cost and expenses of the **Franchisee**.

vii. The **Franchisor** shall furnish examination papers to the **Franchisee** as and when necessary.

viii. The **Franchisor** shall issue Certificate of Completion to students who have successfully completed each level of learning of Mental Arithmetic.

8. DUTIES AND OBLIGATIONS OF THE FRANCHISEE:

The **Franchisee** shall:

i. To the best of its ability at all times observe, perform and comply with the rules and regulations given by the **Franchisor**.

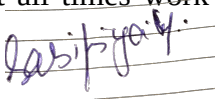
ii. Act loyally and faithfully to the **Franchisor** and obey all orders and instructions given by the **Franchisor** and act in utmost good faith in order to protect the interest of the **Franchisor**.

iii. Shall conduct the **Franchise** Centre as per the standard information manual shared in the SCHEDULE A of this Agreement.

iv. Shall purchase the materials supplied by the **Franchisor** and pay promptly the prices for the same as set out in Schedule B or at such prices as may be determined by the **Franchisor** considering the market fluctuation.

v. Not conduct any similar type of mental arithmetic courses at the **Franchise** Centre or anywhere else and within the territory without the express permission of the **Franchisor** in writing.

vi. At all times work diligently to increase the intake of students and sales of Product for the purpose of



teaching Mental Arithmetic by adopting the System and Product and to protect and promote the interest of **Franchisor**

vii. To conduct its business and uses its best endeavors to preserve and promote teaching of Mental Arithmetic using the System and Product and to enhance the reputation of **Franchisor**.

viii. To offer full range of the Product for sales during promotional events which shall be implemented/offered by **Franchisor** from time to time.

ix. Declares to keep confidential all information including the concept and trade secrets of the **Franchisor** courses and educational materials at any time during the currency, expiration or termination of this agreement.

x. Keep and maintain proper books and accounts and register of students attending the **Franchisor** courses.

xi. At all reasonable times permit the **Franchisor** to inspect all records with or without prior written notice from the **Franchisor**.

xii. Submit all such reports at such required intervals called for by the **Franchisor**.

xiii. Not assign or transfer its rights under this agreement to any third party without the prior written approval of the **Franchisor**.

xiv. Provide the **Franchisor** with copy of the rental agreement in case where the course center(s) is situated in rented premises.

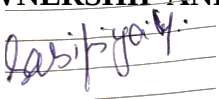
xv. At the **Franchisee**'s cost, to send their own appointed staff (which shall first be approved by **Franchisor**) as **Franchisor** may from time to time reasonably require to attend any training courses for that purpose approved or arranged by **Franchisor**

xvi. The **Franchisee** shall bear all cost and expenses for the setting up, operation and maintenance of the Centre including employment of staff for the purpose of teaching Mental Arithmetic using the System and Product.

xvii. The **Franchisee** shall collect the Product from the **Franchisor** and the cost of delivery and postage of the Product by **Franchisor** shall be borne by the **Franchisee**.

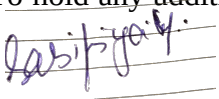
xviii. To strictly comply with and adhere to all the rules and regulations of **Franchisor**, including such rules and regulations as may be varied or revised by **Franchisor** from time to time.

9. OWNERSHIP AND USE OF INTELLECTUAL PROPERTY



The **Franchisee** undertakes the following:

- i. Not use the **Franchisor** logo, trade mark emblem or design without the permission of the **Franchisor** in writing.
- ii. Understands that it is prohibited from photocopying, imitating or reproducing any of the **Franchisor** materials in any manner whatsoever.
- iii. The Intellectual Property particularly the System and Product shall be used by the **Franchisee** for the sole purpose of teaching Mental Arithmetic at the Centre. The **Franchisee** shall refrain from using or allowing the use of the Intellectual Property for any other private or commercial purpose.
- iv. Shall not reproduce or copy in any manner or way the Intellectual Property, whether indirectly or directly for the purpose of venturing into any other 11 private or commercial purpose or for the purpose of setting up another teaching school, network other than the Centre herein, to teach Mental Arithmetic or any form of Mental Arithmetic.
- v. Shall notify the **Franchisor** of any suspected infringement of the Intellectual Property and shall take such reasonable action as the **Franchisor** may direct at the expense of the **Franchisee** in relation to such infringement.
- vi. To indemnify **Franchisor** for any liability incurred to third parties for any use of the Intellectual Property otherwise than in accordance with this Agreement.
- vii. On the expiry or termination of this Agreement forthwith to cease to use the Intellectual Property.
- viii. Not to carry any teaching of the Mental Arithmetic or trading of the System and Product which would or might reasonably be expected by the **Franchisee** to be detrimental to **Franchisor** 's interests.
- ix. Not to tamper with any markings or name plates or other indications of the source of origin of the Intellectual Property which may be placed by the **Franchisor** and not to alter the System and Product or remove, conceal or otherwise interfere with the brand name, Trade Name or Trade Mark.
- x. Not to use the Intellectual Property otherwise than as permitted by this Agreement
- xi. Not to use any name or mark similar to or capable of being confused with the Trade Name or Trade Mark
- xii. Not to use the Trade Name or the Trade Mark or any derivation of them in its trading or corporate name upon expiry or termination of this Agreement.
- xiii. To hold any additional goodwill generated by the **Franchise** for the Intellectual Property as bare trustee



for **Franchisor**.

xiv. Not teach Mental Arithmetic using the System and Product and at any other place other than to the students of the Centre. If the **Franchisee** intends to teach or promote the Mental Arithmetic using the System and Product other than the Centre he must obtain consent of **Franchisor** in writing.

10. INSPECTION

i. The **Franchisee** shall maintain proper recording and filing system and adhere to the standard set by **Franchisor** at all times.

ii. The Inspection officer shall be entitled, from time to time, to supervise, regulate and control the standard of the Centre in accordance with the standard determined by **Franchisor** and to inspect all the Mental Arithmetic relevant registers, document, materials and articles. The Inspection Officer shall be entitled to remove and retain any book, register, document, material or other article, which appears to him to be detrimental to the interest of **Franchisor** or the students.

iii. The Inspection Officer shall prepare a report on the Centre which has been inspected and furnish a copy of the report to the **Franchisee**. The **Franchisee** shall promptly carry out the recommendations and instructions contained in such report.

iv. If the **Franchisee** fails to produce any data, all relevant register, document, material or article as required by the Inspection Officer or fails to carry out the recommendations and instructions contained in the Inspection Officer's report, **Franchisor** shall be entitled to revoke the Certificate of Appointed Centre and the **Franchisee** shall have no claims against **Franchisor**.

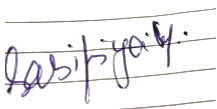
11. ACCOUNTS AND PAYMENT

i. The **Franchisee** shall keep proper and up to date books of account and records showing all transaction relating to business of the Centre and, in particular:

a. the number of students registered at the Centre;

b. Details of the students registered

ii. Every student taking admission for the course to be conducted by the **Franchisee** under this Agreement shall first get himself/herself registered with the **Franchisor** by paying registration fee as specified in Section 7 of SCHEDULE B or as may be fixed from time to time by the **Franchisor**. For the sake of convenience of the students, the registration fee shall be collected by the **Franchisee** on behalf of the **Franchisor**. The **Franchisee** shall immediately remit the amount of Registration Fee so collected to the **Franchisor**.



iii. the payment of fees received, receivable, payable or outstanding by the 13 students and to make available to **Franchisor** on request such books of account, records, reports, returns and other information relating to the business of the Centre as **Franchisor** may reasonably require and to allow the authorized officers and employees of **Franchisor** to have access to any books and records of the kinds referred to herein.

iv. The **Franchisee** shall submit to the **Franchisor** all relevant and required data and be upto date with the online system.

v. The **Franchisor** shall equip each student registered with it with a kit at the initial stage which shall contain an abacus, bag, T-shirt and books for the 1st level.

vi. The **Franchisee** shall pay the **Franchisor** the initial fee as set out in Clause 6 (i) on signing these presents which does not bear any interest and non-refundable under any circumstances.

vii. The **Franchisee** shall pay course material charges per level to the **Franchisor** as stipulated in Section 8 of SCHEDULE B

viii. The **Franchisee** shall collect the particular portion fee as set out in Section 9 of the SCHEDULE B and from that amount, pay a sum as specified in Section 9 of SCHEDULE B per child to **Franchisor**.

ix. The parties agree that all payments made, paid, received or receivable shall be the subject to the Tax Laws of India.

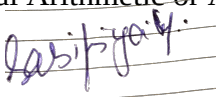
x. The parties agree that this agreement is on a principle to principle basis and does not constitute any agency, partnership or association between the parties.

xi. It is agreed that it shall be the responsibility of the **Franchisor** and **Franchisee** to comply with all laws, rules and regulations as far as the business of the parties is concerned.

xii. The parties agree that the accounts and audit shall be maintained by a Chartered Accountant.

12. NON-COMPETE

During the term of this Agreement, the **Franchisee** shall not, on its own or on behalf of or in connection with any third party, directly or indirectly, in any capacity whatsoever including as an employer, employee, principal, agent, joint-venture partner, partner, shareholder or 14 other equity holder, independent contractor, licensor, licensee, franchiser, franchisee, **Franchisee**, consultant, supplier or trustee or by / through any corporation, cooperative, partnership, trust, unincorporated association or otherwise carry on, be engaged in, have any financial or other interest in or be otherwise commercially involved in any endeavour, activity or business which is similar to or is / may be in competition with the business of the **Franchisor** i.e., teaching of Mental Arithmetic or Abacus, pursuant to the terms and conditions of this Agreement. It is further agreed that



the **Franchisee** shall not do any other business of a similar kind and nature nor shall he enter into any transaction with any other entity to market for the purposes of teaching Mental Arithmetic or Abacus.

13. ASSIGNMENT, TRANSFER AND ENCUMBRANCE

i. This Agreement, and any or all of the **Franchisor's** rights and/or obligations under it, are transferable by the **Franchisor** in whole or in part, without the consent of the **Franchisee** and shall inure to the benefit of any person or entity to whom the **Franchisor** transfers it, or to any other legal successor to the **Franchisor's** interests in this Agreement.

ii. This **Franchise** Agreement is personal to the **Franchisee** and neither the Agreement nor any part or all of the ownership of the **Franchisee** may be voluntarily, involuntarily, directly or indirectly assigned, subdivided, sub-franchised or otherwise transferred by the **Franchisee** without the prior written consent of the **Franchisor**, and any such assignment or transfer without such consent shall constitute a breach hereof and shall convey no rights to or interest in the Agreement and shall be null and void.

iii. The **Franchisee** shall not incur or purport to incur any liability on behalf of **Franchisor** or in any way pledge or purport to pledge **Franchisor** credit or accept any order to make contract binding upon **Franchisor** without the **Franchisor** first approving in writing.

14. PROPRIETARY AND CONFIDENTIAL INFORMATION

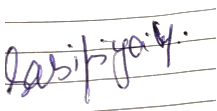
The **Franchisee** hereby covenants that they or their servants, agents shall acknowledge and agree that:

i. The **Franchisor** possesses certain confidential and proprietary information including but not limited to managerial techniques and other activities of the Business in which the **Franchisor** possesses valuable Confidential Information.

ii. The **Franchisor** shall disclose such parts of the Confidential Information as are required for the operation of this Agreement to the **Franchisee** and in guidance to the **Franchisee** during the term of this Agreement.

iii. The **Franchisee** will not acquire any interest in the Confidential Information, other than the right to utilize it in the development and operation of the **Franchise** Business during the term of the Agreement, and that the use or duplication of the Confidential Information in any other **Franchise** Business would constitute an unfair method of competition with the **Franchisor** and its other Franchisees.

iv. The **Franchisee** will hold the Confidential Information absolutely secret and in strictest confidence and not to at any time during or after the Term, disclose or use or permit to be disclosed or used any of the Confidential Information or any other affairs of **Franchisor** for any purpose other than upon the instruction and direction of **Franchisor**.



v. The Confidential Information is disclosed to the **Franchisee** solely on the condition that the **Franchisee** agrees, and the **Franchisee** does hereby agree, that it:

a. Will use the Confidential Information only for the Business and not for any other purpose for all times to come;

b. Will maintain the absolute confidentiality of the Confidential Information during and after the term of this Agreement;

c. Will not make unauthorized copies of any portion of the Confidential Information disclosed in any form; and

d. Will adopt and implement all reasonable procedures prescribed from time to time by the **Franchisor** to prevent unauthorized use or disclosure of the Confidential Information.

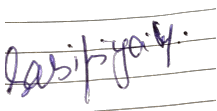
vi. Notwithstanding anything to the contrary contained in this Agreement, the restrictions on the **Franchisee**'s disclosure and use of the Confidential Information shall not apply to:

a. Information, processes or techniques which are or become generally known by operators of businesses that are competitive with Franchisees of the **Franchisor**, other than through disclosure (whether deliberate or inadvertent) by the **Franchisee**; or

b. Disclosure of Confidential Information in judicial, arbitral or administrative proceedings to the extent the **Franchisee** is legally compelled to disclose such information, provided the **Franchisee** shall have used its best efforts, and shall have afforded the **Franchisor** the opportunity, to obtain an appropriate protective order or other assurance satisfactory to the **Franchisor** of confidential treatment for the information required to be so disclosed.

vii. All ideas, concepts, techniques or material relating to the operation of the Centre whether or not protectable intellectual property and whether created by or for the **Franchisee** or the **Franchisee**'s employees, must be promptly disclosed to the **Franchisor** and will be deemed to be the **Franchisor**'s sole and exclusive property and works made-for-hire for the **Franchisor**. To the extent any item does not qualify as a "work made-for-hire" for the **Franchisor**, by this paragraph the **Franchisee** assigns ownership of that item and all related rights to that item, to the **Franchisor** and agrees to sign whatever assignment or other documents the **Franchisor** requests to evidence the **Franchisor**'s ownership or to help the **Franchisor** obtain intellectual property rights in the item.

viii. The **Franchisee** agrees that, as of the effective date of a Termination, the **Franchisee** shall immediately cease to use the Confidential Information disclosed to or otherwise learned or acquired and return to the **Franchisor** all copies of the Confidential Information loaned or made available to the **Franchisee**.



ix. The parties understand that the information shared by the parties are highly secretive, confidential in nature and shall not disclose them either during the currency of the agreement or at any time thereafter.

15. REPRESENTATIONS AND WARRANTIES

The Parties represent and warrant as under:

i. They have the requisite power and authority to enter into this Agreement and perform all the obligations under this Agreement and that their obligations under this Agreement do not conflict with their obligations under any other Agreement or contract.

ii. They have the requisite authority and approvals to perform their obligations under this Agreement. They shall, at all times, have the requisite statutory and other approvals to be in conformance with this Agreement and perform their obligations hereunder.

iii. Each Party shall comply with all the terms and conditions of this Agreement and shall indemnify the other non-breaching Parties for any loss or damage caused to them for any breach of this Agreement by such Party.

iv. The **Franchisee** shall not make any representation or give any warranty or guarantee whatever, whether express or implied in connection with the success of the System and Product in teaching students to produce Mental Arithmetic other than as contained in any advertising matter from time to time provided by **Franchisor** or in accordance with the **Franchisor's** guarantee.

v. In consideration of payment of amount specified in Clause 6 (i) by the **Franchisee** to the **Franchisor** and observation of the covenants on the part of the **Franchisee** contained in these presents, the **Franchisor** hereby agrees to license / grant to the **Franchisee** and the **Franchisee** hereby agree to accept the said license/ grant:

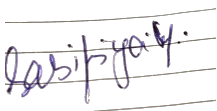
a. to conduct **Franchisor's** courses as set out in SCHEDULE A hereto at the **Franchisee's** area specified in Section-4 of the SCHEDULE B hereto; and

b. to manage and operate the Centre for the term specified in Section 6 of the SCHEDULE B hereto.

The **Franchisee** represents and warrants as under:

vi. The **Franchisee** shall not make any additions or alterations to the Products, unless expressly permitted in writing by the Company.

vii. The **Franchisee** shall use the intellectual property of the Company, the Know How and the Trademarks of the Company's Licensor only for the purposes of this Agreement.



viii. The **Franchisee** shall take and keep valid during the term of this Agreement, such insurance covers with respect to the Products as may be required by the Company.

16. TERMINATION

i. The **Franchisor** may terminate the Agreement prior to the Expiry Date if the **Franchisee**:

a. becomes bankrupt / goes into liquidation / becomes insolvent;

b. if there is a change in the status / constitution / ownership / conversion into partnership firm or any other firm of change in the Franchised Business whether sole proprietor / partner / company;

c. has an administrator or receiver of its undertaking appointed;

d. commits an incurable breach of a material provision of the Agreement (see below);

e. fails to remedy a breach complained of within a specified time;

f. repeatedly breaches provisions of the Agreement;

g. abandons the Franchised Business;

h. is convicted of a [serious] criminal offence;

i. persistent complaints to the **Franchisor** about the quality of service provided by the **Franchisee**;

j. supplying misleading or false information in support of the franchise application;

k. the **Franchisee**'s Franchised Business having a detrimental effect on the goodwill of the Franchised Business;

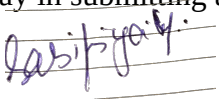
l. failure to commence the Franchised Business within a specified period;

m. failure to make payments due under the agreement;

n. failure to operate the Franchised Business in accordance with the agreement in the manual [or the **Franchisor**'s reasonable instruction];

o. the transfer of any rights, licenses, etc. other than in accordance with the terms of the Agreement;

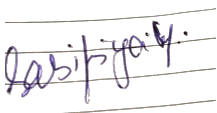
p. delay in submitting accounts and records;



- q. disclosure of confidential information;
- r. refusal to permit an inspection of **Franchisee**'s site or an examination or audit of any of the books, records, or financial statement;
- s. failure to obtain **Franchisor**'s approval where this is prescribed by the Agreement.
- t. Failure to conduct the **Franchise** Centre as per the standard information manual shared in the SCHEDULE C of this Agreement
- u. If the **Franchise** Centre is not functional for a period of 6 months consecutively, a notice is issued by the **Franchisor** and no response is received from the **Franchisee**
- v. If any modification or otherwise in law prohibits the activities envisaged under this Agreement
- w. Uses the premise for activities other than the **Franchise** Business.

17. CONDITIONS FOLLOWING TERMINATION

- i. On termination of this Agreement, the **Franchisee** shall
 - a. cease to trade under the Trade Name or Proprietary Marks
 - b. not hold themselves out as the operators of the Franchised Business.
 - c. not make or receive telephone calls in connection with the Franchised Business
 - d. pass enquiries, details of potential students to the **Franchisor**
 - e. not divulge or use any Confidential Information
 - f. fails to operate the business in accordance with the agreement [or the **Franchisor**'s reasonable instruction
 - g. give all the details of the students enrolled in all the courses under the **Franchisee** to the **Franchisor**.
 - h. pay all monies owing to clients against unexecuted packages where applicable.
 - i. return the System and Product to the **Franchisor** (without copying it).
 - j. pay all debts owing to creditors of the **Franchisee**'s Franchised Business.



k. Pay penalty of INR 2,00,000 to the **Franchisor** if the franchise agreement is terminated in any or all of the circumstances:

Franchisee allowed course materials of **Franchisor** to be used at a center not being the **Franchise** Center. **Franchisee** made unauthorized photocopies of the course materials. **Franchisee** provided unauthorized training to course instructor / students without prior approval from the **Franchisor**. **Franchisee** is found to be marketing of competitive programmes not authorized / conducted by the **Franchisor**.

l. return all stationery of the Franchised Business to the **Franchisor**.

m. join the **Franchisor** in cancelling any registered license agreement of the Trade Mark.

n. the **Franchisee** shall not engage in any Franchised Business which competes with the Franchised Business in the Territory for period of [three] years after termination.

o. The **Franchisee** shall not compete with the Franchised Business within the Territory of any other **Franchisee** for period of [three] years after the expiration and/or termination thereof.

p. The **Franchisee** shall not for a period of [thirty six] months solicit any employees of the **Franchisor** or any individuals employed in the **Franchisee's** Franchised Business in the last six months prior to termination.

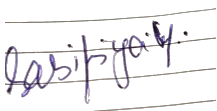
q. In the interest of continuity and protection of Franchised Business goodwill the **Franchisor** shall be entitled to enter directly themselves or through **Franchisor's** approved agency on the Premises to operate the **Franchisee's** Franchised Business free from encumbrances after termination or expiry upon efflux of time following written notice being given to the **Franchisee**. The **Franchisor** shall however pay to the **Franchisee** the following sums of money to compensate for the **Franchisee's** capital invested in the Franchised Business:

1. Infrastructure cost consisting of interiors, furniture, other utility materials supplied by the **Franchisor** and fixtures after taking into account depreciation @ 25% p.a. on straight line method.

2. Equipments after taking into account depreciation @ 25% p.a. on straight line method.

a. The **Franchisee**, shall vacate the franchised premise within ten working days upon the termination of this Agreement.

b. The **Franchisee** shall, in the event of **Franchisor** taking over the Franchised Business under clause mentioned above, take steps to transfer the ownership/tenancy rights in the Premises and the assets to the **Franchisor** together with any Lease or other agreements relating to the Franchised Business.



c. Save and except as provided in this Agreement the **Franchisee** shall have no right and the **Franchisor** have no obligations to pay any compensation including damage or cost to the **Franchisee** on account of termination of the Agreement. The **Franchisee** shall meet all his obligations incurred or borne under the Agreement for undertaking the **Franchisee** operation including settling of dues (Statutory or otherwise), compensation etc. to the employees employed by the **Franchisee**

d. In the event that this Agreement is terminated/ expires in its entirety or with respect to any of the obligations hereunder, **Franchisee** shall forthwith return all the products, designs, pamphlets, artwork, hoarding and or any items/documents supplied by the **Franchisor**. The termination of this Agreement shall not discharge, affect or otherwise modify the right and obligations of the parties established or incurred prior to the termination hereof.

18. LIABILITY:

i. As referred in Clause 25.1, there exists no fiduciary or principle and agent relationship between the **Franchisor** and the **Franchisee**.

ii. The **Franchisor** shall not be liable for any act arising out of the negligence or willful omission of the **Franchisor** or his employees.

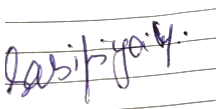
iii. The **Franchisor** is hereby absolved from any liabilities that may arise in the due course of the **Franchise Business**.

iv. The **Franchisor** is hereby absolved from all the liabilities that may arise between the **Franchisee** and any Third Party.

v. The **Franchisee** shall be liable for all or any claims, damages and expenses of any nature whatsoever arising directly or indirectly or suffered by **Franchisor** by reason of any negligent, dishonest, criminal, IPR violations or fraudulent act of the **Franchisee** under this Agreement and/or for any loss and/or damage caused to **Franchisor**.

vi. It is specifically agreed that **Franchisee** shall be solely and exclusively liable for the services provided by it to third parties including customers/clients and also for all the activities carried out by it to fulfil its obligations hereunder and/or for any loss and/or damage including loss of goodwill etc. caused to **Franchisor** due to the same.

vii. If the **Franchisee** is in breach of any of terms, conditions, covenants and obligations under this Agreement or if there is any claim is made against the **Franchisor** in respect of the **Franchisee's** employees and/or breach of this Agreement by the **Franchisee**, the **Franchisee** shall indemnify **Franchisor** against all loss, damages, costs and expenses awarded against or incurred by **Franchisor** in connection with the claim.



viii. Notwithstanding Clause 25.1 herein, if the **Franchisee** breach any of the covenants under Clauses 9, 12 and 14 in this Agreement, the **Franchisee** shall be liable to pay **Franchisor** liquidated damages of Rs 2,00,000.00 without prejudice to **Franchisor** claim against the **Franchisee** for any other claim of damages in respect of any other breach other Clauses 9, 12 and 14 herein.

19. NON-RETENTION OF FUNDS

i. The **Franchisee** does not have the right to offset or withhold payments owed to the **Franchisor** for amounts purportedly due to the **Franchisee** from the **Franchisor** as a result of any dispute of any nature but will pay such amounts to the **Franchisor** and only thereafter seek reimbursement. If the **Franchisee** believes that the **Franchisor** has violated any legal duty to the **Franchisee**, the **Franchisee** will, notwithstanding such dispute, pay as designated all sums specified under this Agreement or any other agreement, to be paid to the **Franchisor** (including royalties, any unpaid portion of the initial franchise fee and any marketing contributions and/or amounts payable to **Franchisee** councils and/or cooperatives) and will not withhold any payments until and unless such dispute has been finally determined in the **Franchisee**'s favour.

20. DISPUTE RESOLUTION

i. The following provisions shall apply if any dispute or difference arises between the Parties relating to, connected with or out of this Agreement (the 'Dispute').

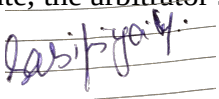
ii. A Dispute will be deemed to arise when one Party serves on the other Party a notice stating the nature of the Dispute (a 'Notice of Dispute').

iii. The Parties hereto agree that they will use all reasonable efforts to resolve between themselves, any Disputes arising out of or relating to this Agreement through negotiations.

iv. Any dispute arising out of or in connection with this Agreement, except for controversies, disputes, or claims related to or based on the **Franchisee**'s use of the Name and Mark, the **Franchisee**'s obligation to make royalty or other payments to the **Franchisor** or the **Franchisee**'s post-termination obligations, which could not be settled by Parties through negotiations, the Parties agree to submit any dispute arising between them to arbitration.

v. The Parties shall submit to Arbitration after the period of sixty (60) days from the service of the Notice of Dispute, shall be referred to and finally resolved by arbitration in accordance with the Arbitration and Conciliation Act, 1996 ('Act') and rules framed there under for the time being in force, and all proceedings shall be conducted in English at Chennai.

vi. The disputing Parties shall mutually appoint a sole arbitrator. In the event the disputing Parties are unable to agree upon a single arbitrator within a period of 30 (thirty) days from the date of service of Notice of Dispute, the arbitrator shall be appointed by the High Court in accordance with the Act.



vii. The **Franchisee** and **Franchisor** agree that Arbitration shall be conducted on an individual, not a class-wide, basis and that the **Franchisor** and the **Franchisee** shall be the only parties to any Arbitration proceeding and that no such arbitration proceeding may be consolidated with any other arbitration proceeding, nor shall any other person be joined as a party to such arbitration proceeding.

viii. The decision of the Arbitrator in the form of an arbitral award shall be final and binding on the Parties. The judgment upon the award may be entered in any court of competent jurisdiction.

ix. Except claims for royalty fees and advertising contributions and other amounts owed to the **Franchisor**, any and all claims arising out of or relating to this Agreement or the relationship of the **Franchisee** and the **Franchisor** in connection with the **Franchisee**'s operation of the **Franchise** Business shall be barred unless an action or proceeding is commenced within one (1) year from the date the **Franchisee** or the **Franchisor** knew or should have known of the facts giving rise to such claims.

x. This Agreement shall be governed and interpreted in accordance with the laws of the Republic of India, and the Parties irrevocably submit to the exclusive jurisdiction of courts at Chennai.

xi. This provision shall continue in full force and effect subsequent to and notwithstanding expiration or termination of this Agreement.

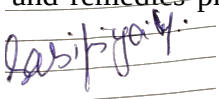
21. JURISDICTION

i. The **Franchisee** agrees that any action arising out of or relating to this Agreement otherwise as a result of the relationship between the **Franchisor** and the **Franchisee**, which is not required to be arbitrated hereunder or as to which arbitration is waived, must be commenced in the Court of general jurisdiction of Chennai, and the **Franchisee** irrevocably submits to the jurisdiction of such courts and waives any objection to jurisdiction or venue of such court.

22. WAIVERS

i. The **Franchisor**'s waiver of any breaches under this Agreement (whether by failure to exercise a power or right available to the **Franchisor**, failure to insist on strict compliance with the terms, obligations or conditions of any agreement, development of a custom or practice between the **Franchisee** and the **Franchisor**, which is at variance with the terms of any Agreement, acceptance of partial or other payments or otherwise) with respect to the **Franchisee**, will not affect the **Franchisor**'s rights with regard to any breach by the **Franchisee** or constitute a waiver of the **Franchisor**'s right to demand exact compliance by the **Franchisee** with the terms of this Agreement.

ii. Subsequent or other acceptance by the **Franchisor** of any payments or performance by the **Franchisee** will not be deemed a waiver of any preceding or other breach by the **Franchisee** of this Agreement. The rights and remedies provided in this Agreement are cumulative and the **Franchisor** will not be prohibited



from exercising any rights or remedies provided under this Agreement or permitted under law or equity.

23. ENTIRE AGREEMENT

i. This Agreement, including the introduction and Annexures hereto, constitutes the entire agreement between the **Franchisor** and the **Franchisee** and there are no other oral or written understandings or agreements between the **Franchisor** and **Franchisee** concerning the subject matter of this Agreement. Except as expressly provided otherwise in this Agreement, this Agreement may be modified only by written agreement signed by both the **Franchisor** and the **Franchisee**.

24. SEVERABILITY, SUBSTITUTION OF VALID PROVISIONS

i. Except as otherwise stated in this Agreement, each provision of this Agreement, and any portion of any provision, is severable (including, but not limited to, any provision affecting any rights to recovery for breach of any legal obligation), and the remainder of this Agreement will continue in full force and effect.

ii. To the extent that any provision restricting the **Franchisee's** competitive activities is deemed unenforceable, the **Franchisee** and the **Franchisor** agree that such provisions will be enforced to the fullest extent permissible under governing law. The **Franchisor** may modify any invalid or unenforceable provision to the extent required to be valid and enforceable and the **Franchisee** shall be bound by such modified provisions. iii. The terminations of this Agreement (for whatever reason) shall not terminate any provision which is expressly or by implication provided to come into or continue in force after such termination and shall be without prejudice to the accrued rights and liabilities and other remedies of the parties of this Agreement.

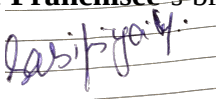
25. INDEPENDENT CONTRACTORS AND INDEMNIFICATION

In this Agreement, unless the context shall otherwise require, the following definitions shall apply: -

i. The **Franchisor** and the **Franchisee** are independent contractors. The **Franchisor** and the **Franchisee** agree that there does not exist any fiduciary relationship between them.

ii. Neither the **Franchisor** nor the **Franchisee** shall make any agreements or representations in the name of or on behalf of the other or that their relationship is other than that of **Franchisor-Franchisee** and neither the **Franchisor** nor the **Franchisee** shall be obligated by or have any liability under any agreements or representations made by the other that are not expressly authorized hereunder.

iii. The **Franchisee** agrees to indemnify the **Franchisor** and the Indemnified Parties from and against, and to reimburse any of the Indemnified Parties for, any and all claims, obligations, damages, costs and taxes arising directly or indirectly out of the **Franchise Business** the **Franchisee** conducts under this Agreement, or the **Franchisee's** breach of this Agreement. This indemnification shall be fully applicable and shall not be



voided or otherwise affected by any allegation or claims that the **Franchisor** has been negligent in any degree.

26. NOTICE

i. Any notice to be given under, or in connection with the matters contemplated by, this Agreement shall be in writing and shall be deemed to have been received by the addressee: -

a. within 72 hours of posting if it is sent by A.R. Registered post with postage prepaid to the addressee's address herein mentioned;

b. if it is dispatched by hand to the addressee's address herein mentioned; or

c. within 24 hours if it is sent by facsimile (with confirmation slip) or by electronic mail (with correct electronic mail number).

27. BINDING EFFECT

i. This Agreement shall be binding upon the respective assigns, heirs, personal representatives and successors in title of the parties hereto.

ii. All regulations, circulars, instructions issued in writing by **Franchisor** at any time shall be binding on the **Franchisee** who shall duly comply with the same.

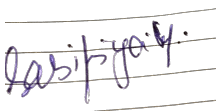
28. LANGUAGE

i. All notices given under this Agreement shall be in English and if there is any discrepancy between any document and any version of the same, the English version shall be definitive and authoritative one.

29. FORCE MAJEURE

i. Neither the **Franchisor** nor the **Franchisee** shall be liable for any loss or damage or deemed to be in breach of this Agreement if a failure to perform particular obligations results from System and Product shortages, inadequate supply or unavailability of teaching materials, labour, material, or energy, or the voluntary surrender of the right to acquire or use any of the foregoing in order to accommodate or comply with the orders, requests, regulations, recommendations, or instructions of any central, state or municipal government or any department or agency thereof;

ii. Compliance with any law, ruling, order, regulation, requirement or instruction of any federal, state or municipal government or any department or agency thereof;



iii. Acts of God;

iv. Fire, strikes, embargos, war or riot; or

v. Any other similar event or cause.

vi. Any delay resulting from any of such causes shall extend the time for performance or excuse performance, in whole or in part, as may be reasonable, except that such causes shall not excuse payments of amounts owed at the time of such occurrence or payment of any amounts due thereafter.

SCHEDULES FORMING PART OF THE AGREEMENT

(Which is to be taken, read and constructed as an integral and essential part of this Agreement)

SCHEDULE A

INFORMATION MANUAL FOR SETTING UP AND CONDUCTING OF FRANCHISE CENTRE

A. COURSE DETAILS a. Regular and Elementary 1st Level – 4 months; 2nd level onwards-3 months per level

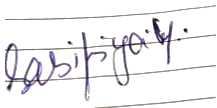
b. Advanced Level: 4 levels of 3 months each

c. Grand Level: 3 Levels of 3 months each

B. CERTIFICATE OF FRANCHISE CENTRE AND STUDENT CERTIFICATE

i. The Certificate of Appointed Centre shall be displayed at an accessible and visible place at the Centre.

ii. If the **Franchisee** wishes to renew the Certificate of Franchise Centre, the **Franchisee** shall at least one (1) month prior to the expiry date of the Certificate of Appointed Centre apply to **Franchisor** for by submitting a duly completed renewal form and the prescribed application fee. Any renewal shall be at the sole and absolute discretion of **Franchisor** and on such terms as may be determined by **Franchisor** subject to the



Franchisee's compliance with the provisions in this Agreement.

iii. If a Certificate of Franchise Centre or student certificate is lost or defaced, the **Franchisee** shall forthwith report the loss or defacement to **Franchisor** and shall make an application for replacement of the Certificate of Appointed Centre or student certificate. If **Franchisor** is satisfied that such loss or defacement is unintentional, **Franchisor** shall replace the Certificate of Franchise Centre or student certificate by issuing a replacement certificate upon receipt of the prescribed fee.

iv. No variation, amendment, verification or replacement of a Certificate of Franchise Centre or student certificate shall be made except by **Franchisor**. The **Franchisee** shall upon the request by **Franchisor** deliver the Certificate of Franchise Centre or student certificate to **Franchisor** for purposes of variation, amendment, verification or replacement.

C. EXAMINATION:

i. The question papers for the examinations shall be drawn by the **Franchisor**

ii. It is agreed by and between the parties that the certificates to be issued to the students on successful completion of the course shall be issued by the **Franchisor** under the signature of the person authorized by them in this respect and that the **Franchisee** shall not issue any certificate to any student in any form whatsoever and for whatever purpose and at any level of training.

D. TRAINING AND MAINTENANCE OF THE FRANCHISE:

The **Franchisee** shall:

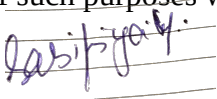
i. Not give training to any person without written authorization from **Franchisor** and also ensure that only qualified persons with valid Instructor's Permit issued by the **Franchisor** be allowed to teach at the Centre.

ii. Not give training to anybody without written authorization from **Franchisor** to ensure that only qualified persons with valid Instructor Permit issued by **Franchisor** are allowed to teach at the Centre.

iii. Send the Instructors to attend refresher training programmed before the expiry of his/her Instructor Permit when called for by **Franchisor**

iv. Give full commitment and support and take part in all functions and events organized by **Franchisor**

v. Maintain the Centres to the satisfaction of **Franchisor** for displaying any System and Product or Mental Arithmetic derived from the teaching conducted by the **Franchisee** and to keep such premises open and adequately staffed at all such hours as are customary in Centre and not to use any other premises for all or any of such purposes without **Franchisor's** prior written consent.



vi. Covenant to keep the System and Product required for the purpose of doing Mental Arithmetic properly stored and maintained under proper supervision and to take all reasonable precautions for their safety and to make good to the satisfaction of **Franchisor** of any loss of or damage or deterioration to the Products from whatever cause.

vii. Subject to the grant of permission of the local authority display in a conspicuous position on the premises of the Centre / office signs of a size, form, design and wording approved by **Franchisor** indicating that the **Franchisee** is the authorized **Franchisee** of **Franchisor**.

viii. Adhere strictly to the Student Fees and pricing of Product as determined by **Franchisor** from time to time and to exhibit a copy of the approved fee structure at a conspicuous place at the Centre.

ix. Shall not display at the Centre any materials and books, which are offensive or detrimental to the interest of **Franchisor**, the public or the students.

SCHEDULE B

1. **DATE (Shall be known as effective date) :-** 28-February-2024

2. **NAME :-** Pavithra R

3. **ADDRESS :-** THIRU VI KA STREET

4. **CENTRE NAME :-** IPA AMBATTUR

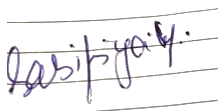
5. **FRANCHISE FEES :-** ₹ 19 (Including GST)

6. **TENURE OF AGREEMENT :-** 3

7. **REGISTRATION CHARGES :-** ₹ 1770

8. **COURSE MATERIAL CHARGES PER LEVEL (FROM LEVEL 2 ONWARDS)**

9. **ROYALTY BREAK UP**



a. **LEVEL 1**

TERM FEES	FRANCHISEE SHARE	CI SHARE	IPA SHARE (ROYALTY)
₹ 26 (With GST)	₹ 52 (With GST)	₹ 52 (With GST)	₹ 76 (With GST)

a. **LEVEL 2 onwards**

TERM FEES	FRANCHISEE SHARE	CI SHARE	IPA SHARE (ROYALTY)
₹ 22 (With GST)	₹ 14 (With GST)	₹ 14 (With GST)	₹ 57 (With GST)

The fee shall be subject to revision by the Franchisor from time to time.

TESTIMONIUM

IN WITNESS whereof the Parties hereto have hereunto set their respective hands on the day, month and the year hereinabove written.

Signed and delivered
On behalf of the Franchisor

Signature:

Name: **Ms. SHAARADA K SRIRAM**

Signed and delivered
on behalf of the Franchisee

Signature:

Name: Pavithra R

In the presence of: -

1. Signature

1. Signature:

2. Name:

3. Address: NO. 14 Thiru vi ka road 3rdst
Royapettah High Road, Mylapore
Chennai 600004

3. Address: THIRU VI KA STREET

